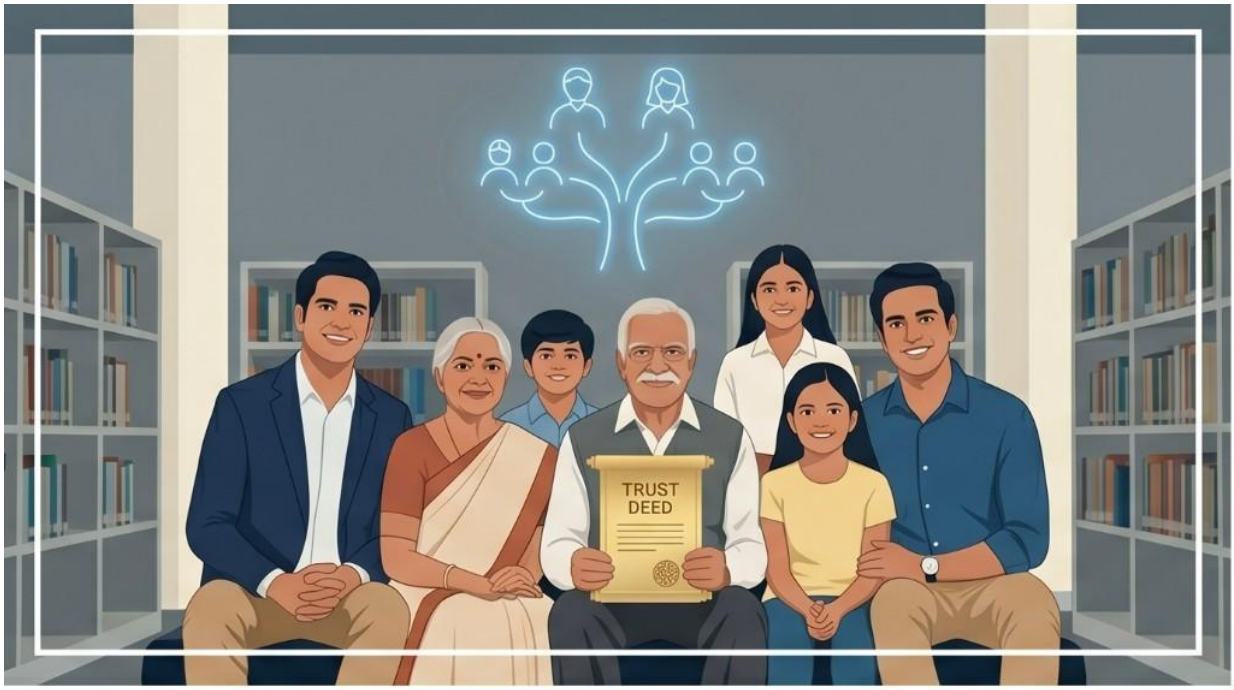

The Rise of the Family Trust in India's Business Dynasties

By Sarthak Misra | Trusts | 8 min read

When Dhirubhai Ambani passed away in 2002 without a formal succession plan, he left behind not just a business empire but a family in conflict. The dispute between Mukesh and Anil Ambani over the Reliance group became one of the most public corporate inheritance battles in Indian history, eventually requiring their mother Kokilaben to step in and broker a peace that no courtroom could have delivered cleanly. It was a spectacle that boardrooms across the country watched with quiet dread because every family with something to protect saw a version of themselves in it.

That episode did not just make headlines. It made lawyers busy. And among the tools that India's wealthiest families began reaching for in its aftermath, none has grown more steadily in use than the private family trust.

What is a Trust?

Before making any argument for or against trusts, it helps to understand what one actually does. Under the Indian Trusts Act of 1882, a trust is a legal arrangement in which one person called the settlor transfers property to another person called the trustee, who is then obligated to manage that property for the benefit of specified beneficiaries. Three parties, one binding deed, and a structure that can be designed to function across decades and generations.

A will, by contrast, is a unilateral document that speaks only after death and only once. A trust speaks continuously. It governs how property is managed while the settlor is alive, what happens when the settlor becomes incapacitated, and how wealth eventually flows to those the settlor intended to benefit. This distinction sounds technical but it carries enormous practical consequence.

When a person dies, their will enters a probate process. Courts get involved, creditors can make claims, family members can contest, and the whole thing can stretch over years before a single rupee moves. A properly structured living trust sidesteps that process entirely because the property is no longer part of the deceased's personal estate at the moment of death. It already belongs to the trust. The transition happens quietly, exactly as the deed specified, without a courtroom in sight.

Why India's Families Are Turning to Trusts Now

The shift is not accidental. According to a 2024 report cited by Shriram Wealth, over thirty percent of high-net-worth individuals in India are now integrating trusts into their financial structures specifically to preserve wealth across generations and reduce succession risk. That is a significant number for a country where estate planning has traditionally been informal, emotionally deferred, and heavily reliant on either wills or the assumed cohesion of joint family structures.

The reason for this shift lies partly in how Indian wealth itself has changed. As Mondaq's recent analysis of Indian family constitutions observes, Indian family wealth today is commonly held across operating companies, LLPs, investment portfolios, real estate structures, and offshore assets, with family members increasingly dispersed across India and multiple other jurisdictions. The old model of a patriarch handing things down through quiet family consensus no longer maps onto this complexity. Something more structured is needed and trusts provide exactly that structure.

There is also the question of privacy. A will, once submitted to probate, enters public record. A trust deed does not. For families with substantial or complicated holdings, the ability to determine who knows what about the estate is not a trivial concern. Trusts allow wealth to transfer on the settlor's terms and in the settlor's silence.

Control Without Concentration

One of the most persistent fears among property owners considering any form of estate planning is the fear of losing control. A gift, once made, is gone. A will only operates after death. But a trust occupies a different position. The settlor writes the deed. That deed can specify in precise

detail how assets are managed, what conditions must be met before distributions are made, and how the trustee should exercise discretion when the settlor is no longer around to give guidance.

This makes trusts especially valuable in situations that wills are poorly equipped to handle. A parent with a child who has a disability can structure a trust to provide for that child across their entire lifetime without worrying about what happens when parental oversight ends. A business family can use a discretionary trust to prevent shareholding from fragmenting across the next generation. A settlor can appoint a professional trustee, such as a bank or a trust company, to make decisions with the kind of institutional continuity that no individual family member can guarantee.

The IBA's India Estate Planning Guide for 2025 notes that within private trusts, the choice between a determinate trust where beneficiaries and their shares are fixed and a discretionary trust where the trustee decides how distributions are made allows settlors to calibrate exactly how much flexibility they want to preserve. That calibration is impossible with a will.

The Limitations That Honest Analysis Demands

The first complication lies in a distinction that sounds technical but carries enormous financial consequence. In a determinate trust beneficiary shares are fixed, so income flows through to those beneficiaries and is taxed at their individual slab rates. A discretionary trust leaves distribution to the trustee's judgment, and the tax system punishes that flexibility directly. Under Section 164 of the Income Tax Act, the income of a discretionary trust is taxed at the Maximum Marginal Rate, which is 39 percent under the default regime or 42.74 percent under the previous regime with no slabs and no basic exemption. The flexibility is real but so is the cost, and families who choose a discretionary structure without understanding this often discover it at the wrong moment.

That problem becomes more acute when a trust holds shares in a family business or earns income from an operating company. If a trust's income includes profits and gains from business, the entire income is taxed at the maximum marginal rate regardless of how clearly beneficiary shares are defined everywhere else in the deed. A trust that would otherwise enjoy efficient slab-rate treatment can lose that advantage entirely because of how one stream of income is characterised, and this is typically discovered only after an assessment has already been raised.

Layered on top of this is the revocability question, which catches many settlors off guard. Indian tax law interprets revocability broadly, and any structure where the settlor retains rights to control or benefit may be treated as revocable regardless of whether those powers are actually exercised. A settlor who names themselves as trustee or retains the power to amend the deed may

find that the tax department attributes all trust income back to them personally, leaving a structure that exists on paper and delivers nothing in practice.

The most recent illustration of how quickly this area can shift is the Buckeye Trust ruling from the Bangalore ITAT in December 2024, which held that a deed granting the trustee power to add non-relative beneficiaries in the future may attract tax under Section 56(2)(x). The order was recalled for a fresh hearing in January 2025 but the principle it raised remains unresolved. Many standard trust deeds drafted by lawyers across India carry exactly this kind of general clause, and whether it now creates tax exposure is still an open question that specialists are actively debating.

There has been at least one meaningful step toward clarity. The Mumbai Special Bench ruled in Araadhya Jain Trust v. ITO that while base income tax remains at the maximum marginal rate, surcharge is levied according to progressive slabs based on the trust's actual income rather than automatically at the highest rate. It is partial relief, but meaningful for smaller trusts that were previously taxed on surcharge as though they were the wealthiest entities in the country. Trust taxation in India is not settled law and a trust deed is not a one-time document. It demands ongoing legal attention as the law around it continues to evolve.

The Larger Argument

This guide rests on a simple premise: that the legal tools available for estate planning in India are not inadequate but they are deeply underused, and they are underused largely because they are poorly understood. The trust is perhaps the sharpest illustration of this gap. It has existed in Indian law since 1882. It is flexible, robust, and capable of serving a far wider range of families than those who currently use it.

The rise of the family trust among India's business dynasties is not just a story about corporate sophistication. It is a signal to everyone with dependants, a business, a flat, or simply a clear sense of who should benefit from what they have built. The Ambani dispute showed what happens when wealth outgrows the plan behind it. The trust exists precisely to close that gap, to give the intentions of the living a legal structure that survives them.

A will tells your story after you are gone. A trust lets you write it while you are still here.

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Image credits: Gemini